

Table 69.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	The price at the start (left top) of the V-bottom is the measure rule target. The bottom portion of the table shows how often price reaches the target.
Buy location	With this pattern, you know that the breakout price will be 38.2% of the height of the left side of the V, added to the bottom of the V.
Quick trade	Price can recover quickly in a V-bottom, making for a fast profit.

Description	Bull Market	Bear Market
Percentage reaching midway up left side	85%	85%
Percentage reaching 2/3 up left side	70%	69%
Percentage reaching left side top	52%	42%
Percentage reaching 1.5× height	27%	15%

Quick trade. I mentioned this earlier in [Table 69.2](#), “Days to ultimate high.” Because of the sharp rise (or the hope of a sharp rise) after the pattern bottoms, the V-bottom presents an opportunity for swing traders to make a quick buck.

Buy at the breakout and sell at the top of the pattern. If price closes below the bottom of the V, sell. You may even wish to place a stop just below the buy price. If you're lucky, you can ride price to the top of the pattern and perhaps higher.

Experience

The chapter on cloudbank patterns discussed a trade in Northwest Pipe Co. (NPWX). This is the second buy of that trade, bringing me up to a full position. I bought at different times, for different reasons, but sold at the same time. Let's discuss this trade.